

ADMINISTRATIVE REFORMS

Reforms Commission report recommended shift in emphasis from regulation to development.

1983: Commission on Centre-State Relations headed by Justice Sarkaria.

1986: The Fourth Central Pay Commission Report.

1989: The Committee to Review the Scheme of the Civil Services Examination headed by Satish Chandra.

1993-97: The Fifth Pay Commission.

1998: The plethora of laws too contributed to creation of ministries and expanding the babudom. P.C. Jain Commission reviewed steps taken by different ministries to ascertain the efficacy of administrative laws and regulations. In its report submitted on September 30, 1998, it listed 109 laws that needed critical amendments. Subsequently a committee reviewed 2,500 laws and recommended the repeal of 1,400 and amendments to 241. Till 2002, only 393 laws were repealed and 37 acts were amended.



1999: Expenditure Reforms Commission headed by K.P. Geethakrishnan submitted 10

reports by 2001. It looked at 36 ministries and recommended reduction of 20,000 posts in main ministries and another 1,00,000 posts in attached and subordinate offices.

1999: Simultaneously, the Department of Administrative Reforms and Personnel Grievances studied 10 ministries for the purpose of downsizing between 1999 and 2001. It recommended the abolition of 8,000 posts, winding up of 13 organisations and restructuring of 24.



2003: The Surendra Nath Committee Report reviewed the performance appraisal system to ensure linkage between skills, career advancement and performance to promote efficiency.



2005: Administrative Reforms Commission appointed under Veerappa Moily. The Commission submitted four reports on the Right to Information Act, human capital, crisis management and ethics in governance.

Public Disinterest

MINISTRY OF HEAVY INDUSTRIES AND PUBLIC ENTERPRISES

Staff: 436

Wages and allowances: Rs 8.34 crore

Total plan and non-plan expenditure: Rs 920.73 crore

RATIONALE: To administer 48 Central psus and assist them in their effort to improve capacity utilisation and profitability, besides generating resources for them to become competitive.

REALITY CHECK. Nehru's temples of modern India are nearly in ruins because politicians preyed on it. PSEs need to be made autonomous. If corporatised and listed with widespread public holdings, they can emerge as competitive forces and deliver returns.

The road to hell, they say, is paved with good intentions. During the Third Lok Sabha, the Estimates Committee observed "the absence of any organisation in the Government to provide policy and overall guidance to the Central Public Sector Enterprises (PSEs)" and stressed the need for setting up a centralised coordinating unit which could also make continuous appraisal of the performance of public enterprises. In their wisdom, the government of the day and the ministers created the ministry. Nothing in the performance record indicates that the existence of a ministry has helped the PSEs. Worse, despite sermons on autonomy, the Government is unwilling to even appoint independent directors who could question the actions of the minister. Minister for Heavy Industries Santosh Mohan Dev told the Rajya Sabha on May 15 that in 2005-06, 58 of the 225 Central PSEs were making losses. The cumulative loss of the 107 loss-making cpsus between 2001-2003 was Rs 30,437 crore. Worse, for 10 central PSEs there was no information available.



Forget outstanding loans, the CAG reveals that outstanding interest from 33 psus, till March 2006, amounted to Rs 13,761.4 crore. Loans were outstanding since 1978-79. psus need to be afforded true autonomy. Every report, every statistic on the subject only justifies the dismantling of this ministry. Yes, there is a role for public sector industries, particularly utilities, but we don't need a ministry for it. For a truly public character, PSEs need to be housed in a special purpose vehicle accountable to Parliament.